

Subject: Europe Focus Fund (EFF) – Requested Suggestions

Dear Louise,

After reviewing the recent performance data of the Europe Focus Fund (EFF), including sector allocations, fund risk metrics, and individual stock contributions, I would like to suggest two potential improvements to enhance the portfolio's performance.

- • First, the portfolio appears significantly overweight in Financials (31%) and Industrials (19%) relative to the benchmark, yet both sectors have generated negative relative return contributions. Reducing exposure in underperforming holdings within these sectors—such as positions similar to Safran, Munich Re, and Credit Suisse—could help lower downside risk and improve overall portfolio efficiency.
- • Second, the Technology sector has delivered the strongest positive contribution to relative returns, supported by holdings such as Adyen and Infineon. Increasing selective exposure to high-performing technology or digital platform companies could help capitalize on this positive trend. In addition, modestly increasing allocations to underweighted sectors such as Consumer Cyclical may improve diversification and reduce concentration risk.

Implementing these adjustments could potentially enhance alpha generation while maintaining a balanced sector exposure relative to the benchmark.

Please let me know if you have any queries.

Best regards,

Alok

Analyst